WS Global CIO Office
5 June 2026

Weekly Market View

Resilient fundamentals meet investor froth

→ US forward earnings estimates have been upgraded across sectors in Q2, providing a strong fundamental backdrop to the equity rally.

→ However, proposed new US tariff threats, major IPOs and investor froth in pockets of the market add to Mideast tensions, clouding the near-term outlook.

→ Against this backdrop, we stay diversified as extremely stretched investor positioning in US equities raises the risk of a short-term pullback.

→ Besides the outcome of US-Iran talks, US payrolls and inflation data are next catalysts. Another month of strong payrolls and acceleration in inflation would likely shift the stance of more Fed policymakers from broadly neutral to hawkish.

→ The ECB is expected to deliver a 25bps “insurance” hike next week. However, weaker growth indicators since the start of the East conflict argues against follow-up rate hikes.

Within tech, rotate from semiconductors to internet on stretched positioning

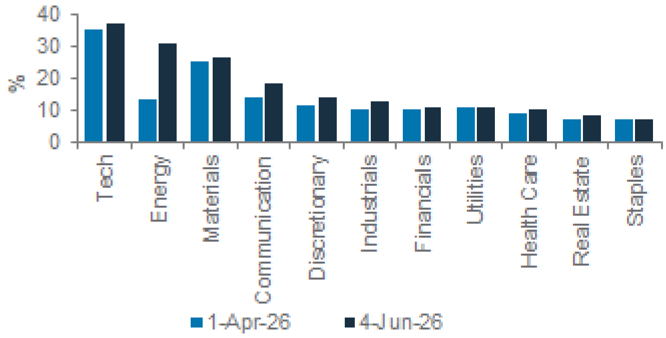
Rangebound EUR/USD: ECB to deliver one insurance hike, then pause

Accumulating gold on dips: continued central bank reserve diversification

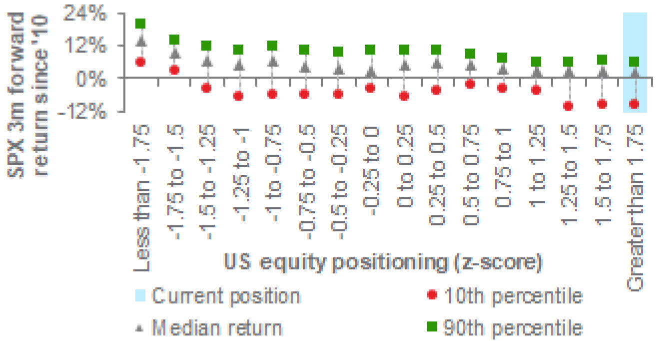
Charts of the week: Strong earnings vs. stretched positioning

Earnings upgrades support the equity rally over the medium term, but stretched investor positioning raises near-term risk

US consensus 12m forward earnings estimates across sectors



US equity positioning and historical S&P500 index returns*



Source: Bloomberg, Standard Chartered, Vanda Research; *highlighted segment reflects current US combined equity market positioning

Editorial

Resilient fundamentals meet investor froth

Strategy summary: US forward earnings estimates have been upgraded across sectors in Q2 providing a strong fundamental backdrop to the equity rally. However, proposed new US tariff threats, major IPOs and investor froth in pockets of the market add to Mideast tensions, clouding the near-term outlook.

Against this backdrop, we stay diversified as extremely stretched investor positioning in US equities raises the risk of a pullback. Besides the outcome of US-Iran talks, US payrolls and inflation data are next catalysts. Another month of strong payrolls and acceleration in inflation would likely shift the stance of more Fed policymakers from broadly neutral to hawkish.

Avoiding concentration risks in equities and tech. Global equities scaled record highs this week, despite renewed Middle East tensions and US proposal to impose 10-12.5% tariffs against trade partners. The AI supercycle continues to drive risk appetite as the consensus lifts AI capex assumptions and AI-related price targets. Our AI capex upgrade in April was a measured 5-10ppts amid concerns including funding constraints – witness the latest surge in debt issuance and IPOs - and execution bottlenecks around power and infrastructure.

We remain long-term bullish on the AI supercycle but short-term cautious, given extremely stretched investor positioning, which raises the risk of a 5-10% pullback. We prefer the equal-weighted global equity index in the near-term and diversification in the tech sector from AI-enablers such as semiconductors and hardware to AI adopters, such as internet and software.

Trillion-dollar IPOs to strain near-term liquidity. Three major upcoming trillion-dollar IPOs - SpaceX, OpenAI, and Anthropic - are expected to reshape index weights and market liquidity. Index providers are fast-tracking inclusion rules. Near-term liquidity impact is estimated at USD 140-280bn. This argues for reducing concentration risk and bracing for volatility.

The ECB expected to deliver a 25bps "insurance" hike next week. Euro area headline inflation rose to 3.2% in May, strengthening the case for a hike in June, but core inflation was relatively subdued at 2.5%. Weaker growth - reflected in negative economic surprises readings, contracting PMIs and slump in consumer confidence and retail sales since the Middle East conflict started - argues against rapid follow-up rate hikes. A prolonged Strait of Hormuz closure could force further action though. Against this backdrop, EUR/USD is likely to trade within the 1.15-1.18 range, with volatility at its lowest since 2020.

The Fed's Beige Book signalled slight-to-moderate growth across ten of twelve districts, with improving momentum despite the energy shock. Manufacturing strengthened in nine districts, boosted by defence and data centre demand. Consumer sentiment stayed mixed, maintaining the wide gap between low- and high-income households, with rising credit card use and weaker discretionary outlays. Labour markets remained in a "low-hiring, low-firing" mode, which was also reflected in the JOLTS job openings report. Prices rose moderate-to-strong, pressured by energy spillovers, compressing margins.

US payrolls, inflation data are next macro catalysts: Latest US activity data and subdued jobless claims suggest US payrolls for May are likely to post another month of solid gains (consensus: 88,000), potentially pushing the jobless rate down. However, beneath the job market's resilience, real disposable incomes are falling and the savings rate has dropped below 3%, close to the lowest in recorded history, signalling stress among households amid rising energy costs. Given these conflicting pressures, we expect the Fed to stay on hold for now.

Avoid duration risk in bonds, stay with 5-7-year maturities. A solid US payrolls data, followed by any further acceleration in inflation (consensus for core CPI: 0.3% m/m) would strengthen the hawks in the Fed policymaking committee. US government bonds face tension between firm economic data and inflation and fiscal policy risks and crowded short positioning. We continue to prefer 5-7-year maturities in our bond allocations, while hedging inflation risks with inflation-protected bonds. We continue to see value in AUD bonds, given RBA rate hikes have been largely priced, and our constructive view on AUD.

— **Rajat Bhattacharya**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

(+) factors: Strong business confidence indicators in the US and China; US-Iran truce optimism

(-) factors: US-Iran, Lebanon ceasefires strained; hawkish central banks

	Positive for risk assets	Negative for risk assets
Macro data	• US Chicago PMI jumped to 62.7 in May from 49.2, well above the 50.5 consensus • US ISM manufacturing PMI rose to 54.0 in May from 52.7, above 53.0 expected • China non-manufacturing PMI rose to 50.1 in May from 49.4; manufacturing PMI slowed to 50.0 • US private sector employment (ADP) increased 122,000 in May, above consensus	• US JOLTS job openings jumped to 7.6mn in April from 6.9mn, signalling labour market tightness • Euro area core CPI rose to 2.5% y/y from 2.2%, above 2.4% expected; headline CPI accelerated to 3.2% y/y from 3.0% • Euro area unemployment rate held at 6.3%, above the 6.2% consensus • Euro area retail sales fell 0.4% m/m (annual growth slowed to 1% y/y) in April
	Our assessment: Neutral – Activity data in the US and China were resilient, but Euro area inflation accelerated	
Policy developments	• Fed's Williams signalled rates on hold amid inflation risks	• Fed's Hammack and Logan signalled hawkishness, keeping focus on inflation vigilance • BoJ's Ueda and BoE's Mann signalled hawkish stance
	Our assessment: Negative – Hawkish central banks bias	
Other developments	• U.S.-Iran alongside Israel-Lebanon ceasefire/talks optimism improved sentiment	• US and Iran renewed clashes, putting strain on truce • China's crackdown on offshore brokerages weigh on China-related sentiment • US proposed 10-12.5% tariffs on dozens of trade partners
	Our assessment: Neutral – Ongoing US-Iran peace talks vs. renewed Middle East clashes and renewed tariff uncertainty	

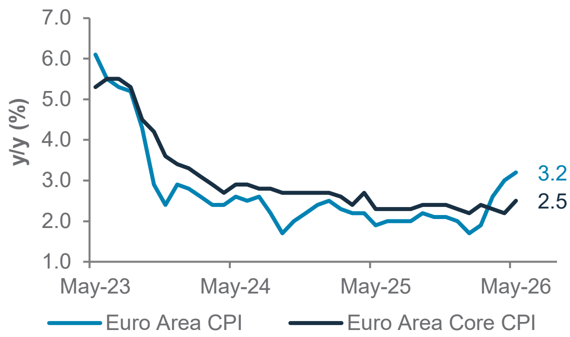
US manufacturing sector business confidence and new orders continued to rise amid pick up in defence spending and AI-related investment

ISM manufacturing PMI and ISM new orders PMI

Source: Bloomberg, Standard Chartered

The acceleration in Euro area headline inflation raises the odds of a 25bps ECB rate hike next week, although still-subdued core inflation reduces the chance of follow-up rate hikes in H2

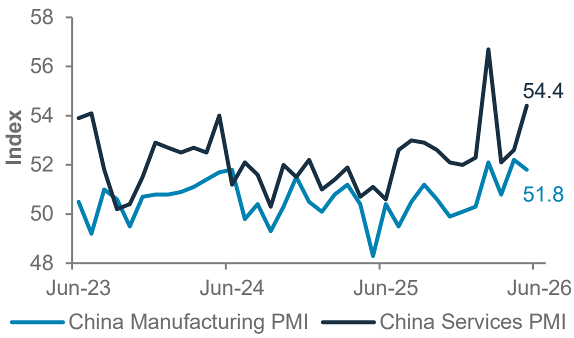
Euro area headline and core consumer inflation



Source: Bloomberg, Standard Chartered

China's manufacturing sector business confidence rebounded amid strong external demand, although services sector confidence remains subdued

China manufacturing vs services PMIs



Source: Bloomberg, Standard Chartered

Top client questions

Amid tech sector equities' continued outperformance, what fundamental drivers support a broadening trade across the rest of the market?

Our view: Maintain a diversified equity portfolio; rotate from semiconductors into Internet names within technology.

Rationale: We remain **structurally positive on AI**, but our **near-term stance has turned more cautious** on stretched positioning following the semiconductor sector rally. Combined US equity positioning is now at extreme levels (over +1.75 std deviations). Historically, this pattern suggests potential drawdowns of around 10% in the SPX Index over the next three months. Furthermore, consensus AI capex assumptions have grown progressively aggressive, leaving the trade vulnerable to any shift in narrative, particularly if **geopolitical risks** or **AI funding concerns** intensify.

Amid this, we advocate broader **equity portfolio diversification**. Within tech, we prefer reducing semiconductor exposure for **Internet names**, where risk-reward appears more attractive. In addition, our **MSCI World Equal Weight opportunistic idea** is supported by lower concentration risk ahead of US mid-term elections (historically a volatile period, with an average peak-to-trough drawdown of 16.3% since 1990) and more exposure to the physical economy and cyclical sectors (e.g., industrials, financials, materials), which should benefit in a soft-landing scenario underpinned by resilient macro data.

— **Michelle Kam, CFA,** *Investment Strategist*

The Global Equal Weight Index skews towards cyclicals, supported by resilient macro backdrop

Sector weights across MSCI World and Equal Weight indices

Sector	MSCI World*	MSCI World Equal Weight*
Industrials	11.3%	18.6%
Financials	15.3%	17.7%
Technology	30.7%	14.6%
Discretionary	9.2%	9.0%
Healthcare	8.6%	8.2%
Materials	3.4%	6.7%
Staples	5.0%	6.1%
Utilities	2.5%	5.5%
Communication	8.7%	4.8%
Real estate	1.7%	4.6%
Energy	3.8%	4.3%

*Data as of 29-May-2026

Source: FactSet, Standard Chartered

How should investors position themselves ahead of the mega tech initial public offerings (IPOs)?

Our view: Reduce US technology concentration risk and broaden exposure.

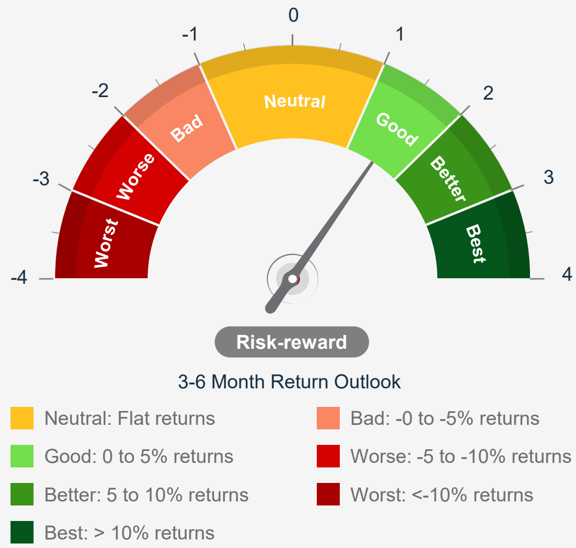
Rationale: The US equity market faces a wave of **trillion-dollar listings** that could become the next major catalyst for stocks, reinforcing confidence in AI as a durable, investable theme across the broader technology sector. However, index implications are likely to trigger near-term volatility. As exchanges fast-track inclusion rules, benchmark composition could shift meaningfully. **Rotation effects** are expected to intensify, with more investors trimming existing positions to allocate to new listings. Insiders will also likely reduce their positioning gradually post-listing as lock-up restrictions expire, adding another potential volatility catalyst.

The ongoing upward revisions to AI capex assumptions ahead of the mega IPOs also signal **growing funding challenges**. AI spending is increasingly reliant on debt or equity issuance, which is complex in a mixed macro environment. Our June 2026 **AI Bubble Meter** has also moderated from 'better' to 'good' risk-reward, implying a more limited upside of 0-5% over the next 3-6 months. We continue to favour US technology but prefer to dial down concentration risk.

— **Jason Wong,** *Senior Equity Analyst*

Our June 2026 AI Bubble Meter has moderated from 'better' to 'good' risk-reward

AI Bubble Meter for June 2026



Source: Standard Chartered

Top client questions (cont'd)

Would strong US job openings data alter your outlook on the US 10-year government bond yield?

Our view: Stronger-than-expected US nonfarm payrolls would likely result in the US 10-year government bond yield retesting May's 4.6-4.7% highs in the short term.

Rationale: US nonfarm payroll growth has been weak and volatile over the past year, with monthly gains averaging only around 22,000 – consistent with a **stagnating, rather than expanding, labour market** – with job gains in one month often reversed in the next.

Against this backdrop, a positive May payrolls print would mark a third consecutive month of gains, signalling a more hawkish tone for markets. However, the **broader labour picture remains mixed**. April job openings rose sharply to 7.62mn, well above expectations. The quits rate stayed low at 1.9%, suggesting workers remain reluctant to change jobs, which tempers the strength implied by the openings data. In addition, recent payroll gains lack breadth. April hiring was concentrated in transportation and utilities, while several major sectors shed jobs. Unless May hiring is broad-based, the policy signal for the Fed will remain limited. An in-line or softer print would keep yields within our near-term **4.25-4.5%** range.

— **Ray Heung,** *Senior Investment Strategist*

A strong US jobs print and a break away from the 'low-hiring, low-firing' mode are conditions likely needed for the US 10-year government bond yield to move sustainably higher

US 10-year government bond yield

Source: Bloomberg, Standard Chartered

Would accelerating EU inflation prints alter your view of one 'insurance' hike by the ECB before year-end 2026? What would be the implications for the Euro (EUR)?

Our view: Our view of one 25bps June ECB hike, followed by a pause, remains. EUR/USD likely to remain within 1.1510-1.1780.

Rationale: Euro area inflation accelerated further in May, with headline Harmonised Index of Consumer Prices (HICP) rising to 3.2% and core inflation at 2.5%. The broadening price pressures strengthen the case for a **June ECB hike**, but weaker growth signals and softer medium-term expectations argue against a rapid follow-up move. This is reflected in continued negative Economic Surprise Index readings, a contracting Purchasing Managers' Index (PMI) and declining industrial production since the Middle East conflict began. The risk to this **one-hike-and-pause stance** is a prolonged Hormuz strait closure beyond our expected few more weeks, which could spike energy prices and force the inflation-targeting ECB's hand.

EUR/USD is expected to remain within a narrow range. Nonetheless, any Euro strength is likely to be countered by persistent USD resilience. Recent US labour data has reinforced expectations of a **Fed on hold**. Since mid-May, EUR/USD has traded in a tight band, with FX volatility at its lowest since 2020. Near-term direction will hinge on nonfarm payrolls and next week's consumer inflation data, and US-Iran developments. Technically, the pair remains **rangebound with bearish bias** below key moving averages.

— **Ray Heung,** *Senior Investment Strategist*

— **Iris Yuen**, *Investment Strategist*

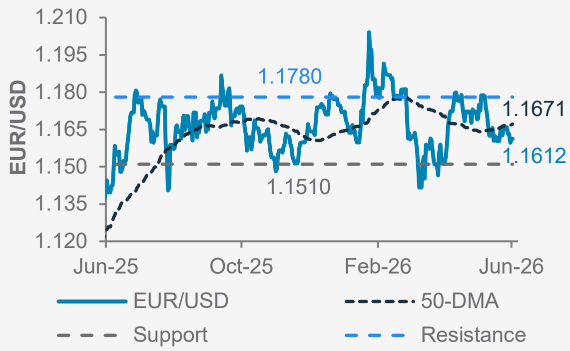
Euro area economic data began weakening shortly after the start of the Middle East conflict

Citi Economic Surprise Index – Euro area

Source: Bloomberg, Standard Chartered

EUR/USD has been hovering around its 50-day moving average (DMA), remaining rangebound

EUR/USD and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

How should investors read the ECB's June 2026 report that gold has overtaken US government bonds as the world's largest reserve asset?

Our view: Gold's rise reflects continued demand for reserve diversification. We expect this structural bid to persist but view any near-term dips in gold towards USD 4,100-4,400/oz as accumulation opportunities.

Rationale: The ECB's 2 June report marks a notable milestone: at market prices, **gold has overtaken US Treasuries** as the world's largest reserve asset. We do not view this as a break in the global reserve order, but rather a reflection of the combined effect of higher gold prices and sustained central bank purchases over recent years. In our view, the **USD remains core** to the international reserve system.

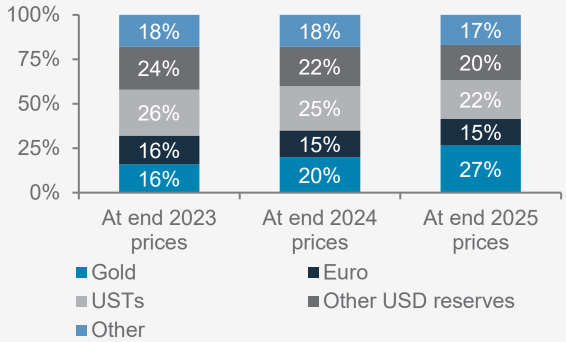
That said, the broader trend in gold demand remains intact. Amid heightened geopolitical fragmentation, sanctions risks and concerns over the long-term US fiscal outlook, gold's appeal as a reserve asset with no sovereign issuer is expected to remain strong. We believe gold's share of global reserves will continue to rise gradually over time, reflecting ongoing **reserve diversification** rather than USD displacement.

Near-term, however, the path may be less linear. Gold is testing a **critical technical level** near USD 4,400/oz (200DMA), risking a breach and a deeper correction towards USD 4,100/oz. We would treat any pullback into this range as an accumulation opportunity.

— **Anthony Naab, CFA**, *Investment Strategist*

The rising gold price is lifting bullion's share of global official reserves

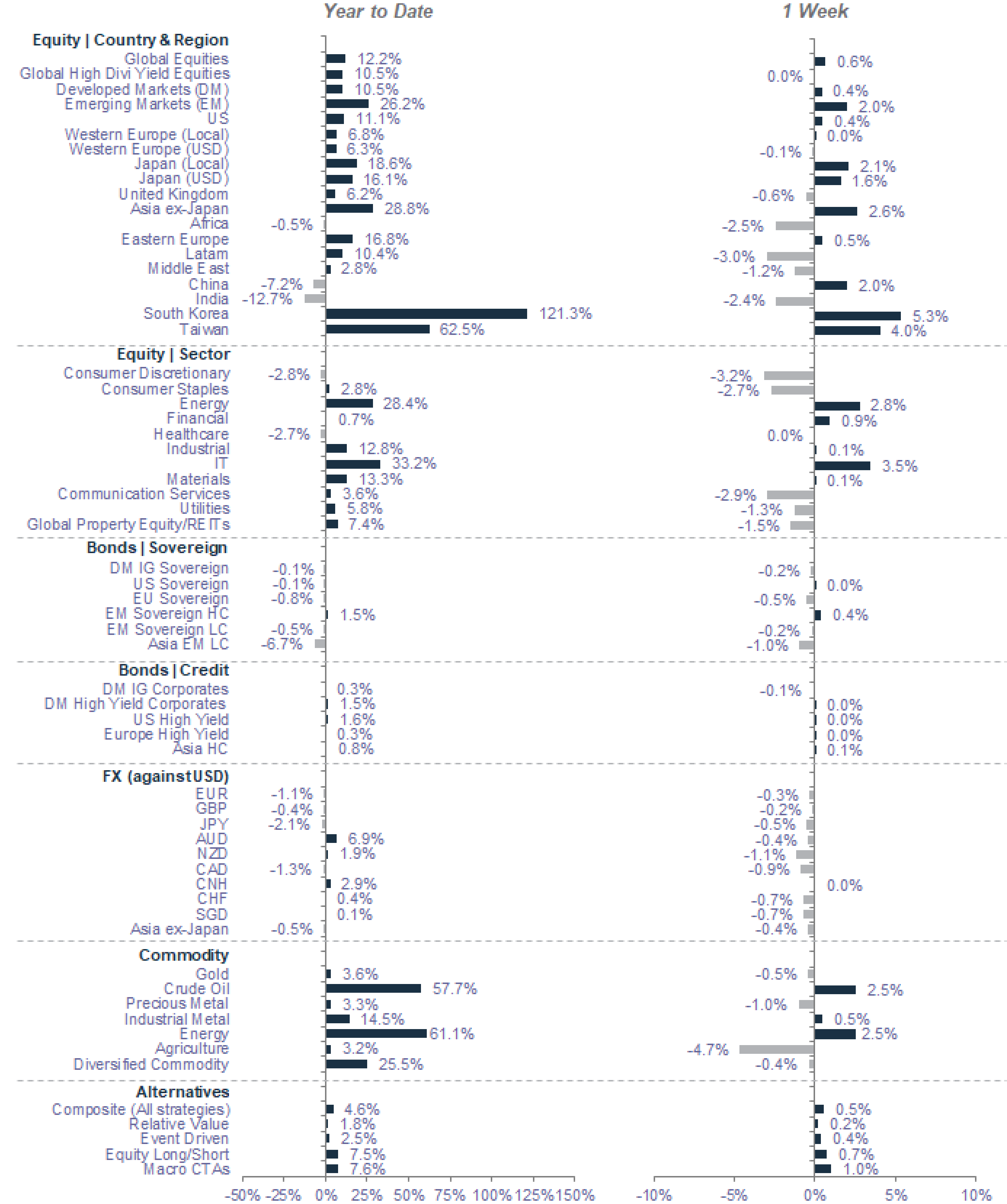
Share of Euro, US Treasuries and gold in official reserves



Source: The International role of the Euro, ECB, June 2026

Note: Year-end 2025 reserve holdings held constant; gold revalued at end-period LBMA PM Fix for each year shown

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 4 Jun 2026; 1-week period: 28 May 2026 to 4 Jun 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Healthcare	▲
Asia ex-Japan	◆	Europe ex-UK Financials	▲
Japan	◆	China Communication	▲
Other EM	◆	China Technology	▲
		China Healthcare	▲
Bonds	◆		
		Govt	
Credit		Govt EM Local	▲
Asia USD	◆	Govt DM IG	▼
Corp DM HY	◆		
Govt EM USD	▲	**Alternatives**	◆
Corp DM IG	◆		
		Gold	▲

Source: Standard Chartered Global Investment Committee
Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EC	Sentix Investor Confidence	Jun	–	-16.4
TUE	US	NFIB Small Business Optimism	May	–	95.9
	CH	Exports y/y	May	–	14.1%
	CH	Imports y/y	May	–	25.3%
	CH	Trade Balance	May	–	$84.82b
WED	CH	PPI y/y	May	–	2.8%
	CH	CPI y/y	May	–	1.2%
	US	CPI y/y	May	4.2%	3.8%
	US	Core CPI y/y	May	3.0%	2.8%
THU	EC	ECB Deposit Facility Rate	11-Jun	–	2.0%
	EC	ECB Main Refinancing Rate	11-Jun	–	2.2%
	US	Initial Jobless Claims	6-Jun	–	–
	US	Continuing Claims	30-May	–	–
	US	PPI Final Demand y/y	May	–	6.0%
	US	PPI Ex Food & Energy y/y	May	–	5.2%
FRI/SAT	US	U. of Mich. Sentiment	Jun P	47.0	44.8
	US	U. of Mich. Expectations	Jun P	–	44.1
	US	U. of Mich. 1y Inflation	Jun P	–	4.8%
	US	U. of Mich. 5-10y Inflation	Jun P	–	3.9%

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,726

Technical indicators for key markets as of 4 Jun close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,584	7,338	7,726	21.0	1.2
STOXX 50	6,103	5,860	6,246	15.3	3.1
FTSE 100	10,360	10,155	10,561	12.7	3.5
TOPIX	3,952	3,802	4,059	16.9	2.3
Shanghai Comp	4,058	3,974	4,200	13.7	3.0
Hang Seng	25,253	24,372	26,490	10.7	3.5
Nifty 50	23,417	22,885	24,215	18.0	1.8
MSCI Asia ex-Japan	1,170	1,094	1,222	12.9	2.0
MSCI EM	1,759	1,655	1,831	12.2	2.3
Crude oil (WTI)	93.0	83.1	106.2	na	na
Gold	4,475	4,303	4,710	na	na
UST 10Y Yield	4.47	4.30	4.67	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 4 Jun close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	1.96
Global Equities	◐	↓	1.37
Gold	◐	↓	1.42
Equity			
MSCI US	◐	↓	1.35
MSCI Europe	●	↓	1.65
MSCI AC AXJ	◐	↓	1.39
Fixed Income			
DM Corp Bond	●	↑	2.40
DM High Yield	●	→	1.69
EM USD	●	↑	1.88
EM Local	●	↓	1.79
Asia USD	●	↑	2.58
Currencies			
EUR/USD	●	↑	2.58

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**
Legend: ● High | ◐ Low to mid | ○ Critically low

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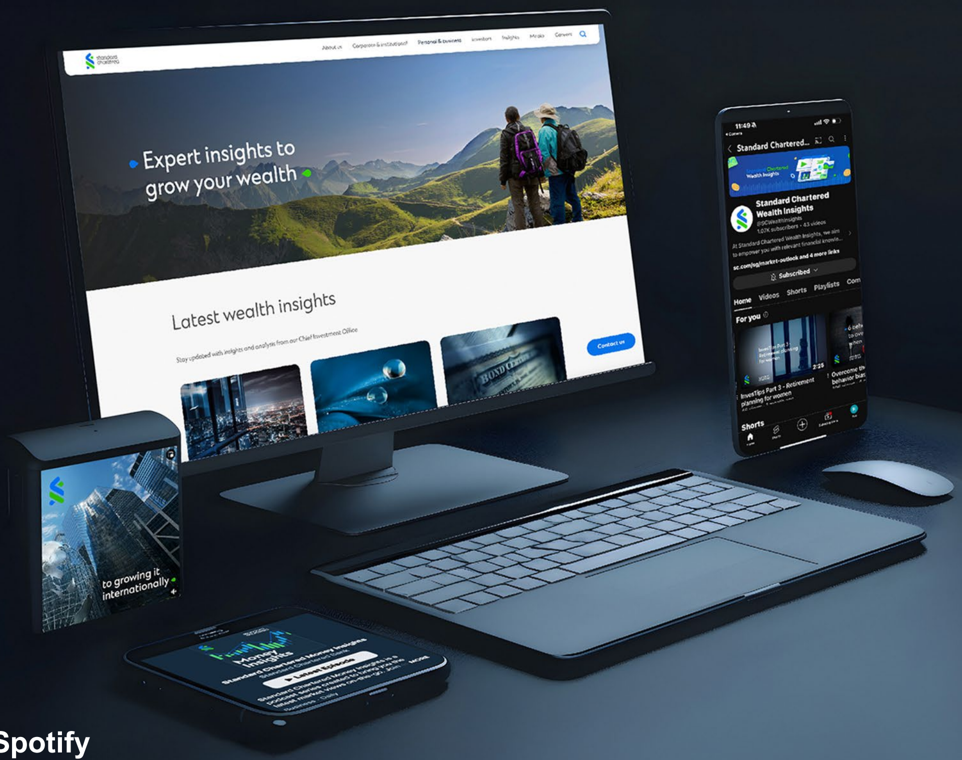

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WS Global CIO Office
29 May 2026

Weekly Market View

All eyes on Hormuz talks

→ Equity and bond markets continue to show a high correlation with oil prices and the direction of US-Iran talks. Media reports suggest an imminent breakthrough in negotiations.

→ Meanwhile, US inflation is re-accelerating at its fastest pace since the post-COVID spike in 2021, after having remained above the Fed's 2% target since that rise. However, spillovers beyond energy-related costs remain limited, which should keep the Fed on hold in the coming months.

→ Although strong corporate earnings support risk assets over the medium term, uncertainty around the resumption of Hormuz strait shipping, pockets of investor exuberance and stretched investor positioning call for a more diversified allocation.

→ Meanwhile, bond yields have pulled back sharply over the past week, especially in the Euro area, where economic data continue to miss expectations. We expect Bunds to outperform US and Japanese government bonds.

Overweight China equities: relatively insulated from geopolitical, inflation pressures

Positive on Bunds, high-quality European credit: ECB rate hikes already discounted

Bullish NZD/USD: hawkish RBNZ favours further rate hikes

Important disclosures can be found in the Disclosures Appendix.

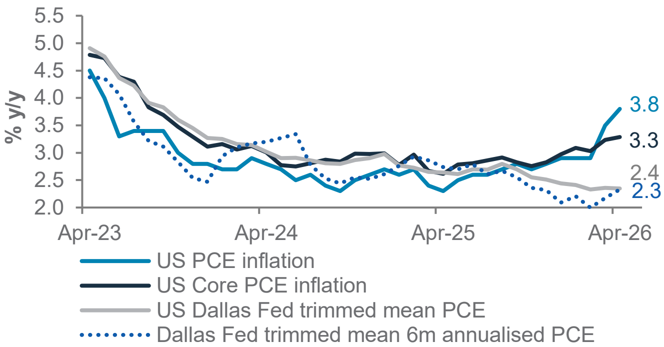
Charts of the week: Watching inflation and bond yields

US bond yields have historically pulled back after a spike over a 3-month period; US PCE inflation lost momentum in April

3m forward return in US 10y yield and S&P500 and USD indices*

		3-month forward change		
Period	**Yield change**	**Yield**	**S&P 500**	**DXY**
Aug-16 to Nov-16	80.1	0.9	7.5%	-0.4%
Sep-16 to Dec-16	85.0	-5.7	5.5%	-1.8%
Dec-20 to Mar-21	82.7	-27.2	8.2%	-0.9%
Dec-21 to Mar-22	82.8	67.5	-16.4%	6.5%
Jan-22 to Apr-22	115.7	-28.5	0.0%	2.9%
Feb-22 to May-22	101.9	34.9	-4.3%	6.8%
Jun-22 to Sep-22	81.6	4.6	7.1%	-7.7%
Jul-22 to Oct-22	139.9	-54.1	5.3%	-8.5%
Jun-23 to Sep-23	73.4	-69.2	11.2%	-4.6%
Jul-23 to Oct-23	97.2	-101.8	15.5%	-3.2%
Jan-24 to Apr-24	76.7	-65.0	9.7%	-2.0%
Sep-24 to Dec-24	78.8	-36.4	-4.6%	-3.9%
28-Feb to 19-May	72.9			
Median		**-27.9**	**6.3%**	**-1.9%**
Average		**-23.3**	**3.7%**	**-1.4%**

US PCE inflation; Dallas Fed trimmed mean PCE inflation



Source: Bloomberg, Standard Chartered; *the table shows 3m forward change after a +70bps spike in US 10yr bond yield over a 3m period

Editorial

All eyes on Hormuz talks

Strategy summary: Equity and bond markets continue to show a high correlation with oil prices and the direction of US-Iran talks. Media reports suggest an imminent breakthrough in negotiations. Meanwhile, US inflation is re-accelerating at its fastest pace since the post-COVID spike in 2021, after having remained above the Fed's 2% target since that rise. However, spillovers beyond energy-related costs remain limited, which should keep the Fed on hold in the coming months.

Although strong corporate earnings support risk assets over the medium term, uncertainty around the resumption of shipping through the Hormuz strait, pockets of investor exuberance, especially in semiconductor-related sectors, and stretched investor positioning call for a more diversified allocation. We remain broadly diversified across regions, with a slight preference for US equities. Meanwhile, bond yields have pulled back sharply over the past week, especially in the Euro area, where economic data continue to miss expectations. We expect Bunds to outperform US and Japanese government bonds.

Hormuz talks driving markets. Oil prices and US and European bond yields pulled back sharply this week after US official comments suggested a resolution to the Middle East conflict is close. However, the resumption of US strikes on military targets in Iran reflects significant pressure on President Trump from Republicans to continue with the conflict. With peak summer travel season approaching and global oil inventories tightening, a resumption in bond and equity market volatility may be a necessary condition for the two sides to reach an agreement to restart Hormuz strait shipping.

Stretched equity market positioning argue for less portfolio concentration. US equity market investor positioning is stretched and pockets of equity markets, especially those related to semiconductors, are showing signs of exuberance. Our AI bubble meter reading for the month of June 2026 moved down from "better" to "good" risk-reward outlook for equities. This implies only 0-5% upside for the AI theme on a 3-6-month basis. Against this backdrop, we believe it would be prudent to right-size AI-related exposure and broaden equity portfolios across sectors and regions that will benefit from AI adoption.

Fed to stay on hold as inflation not broadening yet. US personal consumption expenditure (PCE)-based inflation lost monthly momentum, despite reaching a three-year high year-on-year. Inflation was driven mainly by energy and IT-related goods, with minimal spillover thus far. Energy inflation caused the third consecutive decline in real disposable income. Robust stock markets and tax refunds have supported spending this year, but the savings rate hit a historic low, leaving little buffer for further spending. The Fed is likely to hold rates unless long-term inflation expectations shift. A restart of Hormuz shipping this summer (our base case) should ease inflation, enabling the Fed to cut rates later this year. A prolonged blockade is a risk, which could broaden inflation, leading to potential Fed rate hikes.

Bond yields fail to break higher. US and European bond yields have pulled back over the past week as oil prices fell amid hopes of a Middle East truce. As the table above shows, over the past decade, a 70bps or more spike in the US 10-year government bond yield over a three-month period was usually followed by a pullback in the yield over the next three months. While stocks gained from the yield pullback, the USD weakened on average.

Opportunities in European bonds. Euro area data has significantly missed expectations since the start of the conflict, diverging from the US, as higher energy costs erode household disposable incomes and impact consumer and business confidence. However, markets have priced in a hawkish ECB rate path, with 2-3 rate hikes expected this year, with the ECB prioritising fighting inflation risks. While the ECB has signalled a June rate hike is highly likely, we doubt it will be able to deliver another hike beyond June as growth slumps and labour market slack increases. Against this backdrop, we see attractive value in high quality European bonds, including longer-tenor bunds and high-quality defensive sector credit.

— **Rajat Bhattacharya**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

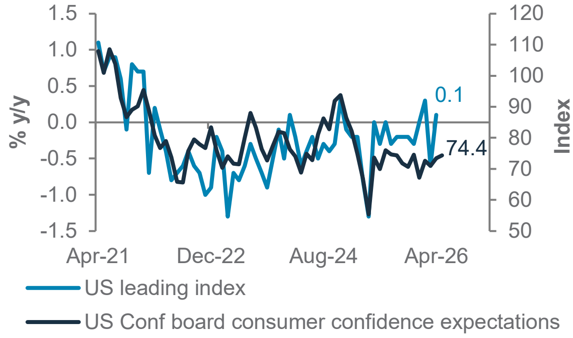
(+) factors: Strong economic sentiment indicators in the US and Euro area; US-Iran truce optimism

(-) factors: US-Iran, Lebanon ceasefires strained; hawkish central banks

	Positive for risk assets	Negative for risk assets
Macro data	• US leading index rose above estimates by 0.1% • US Conf. board consumer confidence & expectations indices beat estimates • US durable goods orders grew by 7.9% y/y • German IFO business expectations and climate index beat estimates • China industrial profits rose by 24.7% y/y in April	• US personal income growth came in below estimates in April
	Our assessment: Positive – Strong economic sentiment indicators in the US and Euro area	
Policy developments		• Fed's Goolsbee, Kashkari and Cook more hawkish on energy-driven inflation • ECB's Schnabel hinted June rate hike needed • BoJ's Ueda hinted a more prolonged hawkish stance • RBNZ held rate unchanged as expected and signalled rate hikes could begin in July 2026
	Our assessment: Negative – Hawkish central banks	
Other developments	• The US and Iran are engaged in active, but fragile peace talks; commercial shipping via the Strait of Hormuz showed signs of recovery • The US and China agreed to establish the Board of Trade to negotiate reciprocal tariff reductions	• US carried out renewed strikes on Iran's military targets • Israel has aggressively escalated its military campaign in Lebanon
	Our assessment: Neutral – Ongoing US-Iran peace talks vs. renewed military strikes in Iran, Lebanon	

US leading index and consumer confidence expectations beat estimates, reflecting a short-term sentiment boost

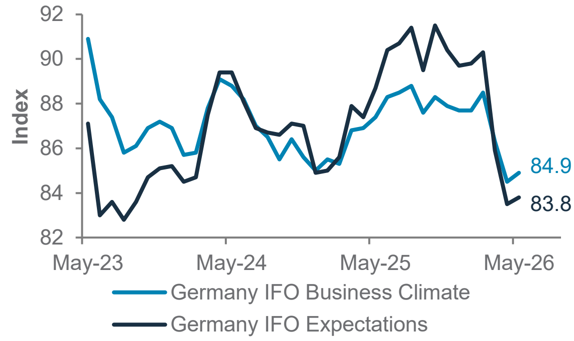
US leading index and Conference Board consumer confidence expectations index



Source: Bloomberg, Standard Chartered

German IFO business climate and expectations indices both stabilised in May, after a sharp decline in the previous two months

Germany IFO business climate and expectation indices



Source: Bloomberg, Standard Chartered

China's industrial profits marked the fastest monthly growth since November 2023, buoyed by stronger exports

China's industrial profits

Source: Bloomberg, Standard Chartered

Top client questions

Might the latest US personal consumption expenditures (PCE) report increase hawkish pressure on the Fed?

Our view: The in-line PCE inflation print validates the impact of higher energy prices, but does not spur a hawkish Fed pivot.

Rationale: The **3.8% y/y headline PCE reading** has risen a full percentage point since February, the sharpest two-month rise since late 2021, driven primarily by the Middle East conflict and higher energy prices. The Fed held policy rates in April and hinted it will wait for more data before its next move. With energy driving the bulk of the overshoot and medium-term inflation expectations still relatively contained, policymakers can frame the print as consistent with their adverse scenario rather than a crisis requiring immediate action.

The market-implied policy rate has yet to move to reflect a definite hike by December 2026, reinforcing the **Fed's 'wait-and see' approach**. We believe the Fed will retain optionality in the near term, ie, it can maintain its pause posture while signalling readiness to act, without being forced into an emergency response. Our base case remains that oil prices will gradually go lower as the conflict is resolved within a few weeks. Together with an anticipated weaker US job market, our base case remains for the Fed to cut once before year-end 2026. This, of course, assumes a Hormuz strait re-opening in the coming weeks, but should our second scenario of a prolonged stalemate persist into H2 2026, the Fed may find it difficult to cut.

— **Ray Heung,** *Senior Investment Strategist*

The market has not fully priced in even one rate hike despite the elevated inflation print

Market-implied number of Fed funds rate cuts/hikes by December 2026

Source: Bloomberg, Standard Chartered

What is your view on China equities after the recent underperformance and regulatory changes?

Our view: We remain Overweight China equities within Asia ex-Japan (AxJ), with the Hang Seng Technology Index (HSTECH) likely supported by long-term structural tailwinds.

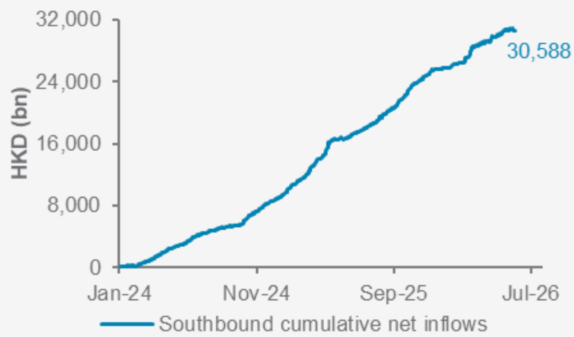
Rationale: The MSCI China Index has lagged AxJ since May, reflecting limited participation in the Emerging Market (EM) rebound following the US-China tariff truce and softer April data. China's regulatory crackdown on cross-border trading has raised capital flow restriction concerns, but market impact has been modest.

The scrutiny reflects policy normalisation continuation rather than a directional shift. Meanwhile, steady southbound net inflows indicate **solid mainland investor conviction** in Hong Kong-listed equities. We remain Overweight China equities, supported by ongoing policy support and relative insulation from geopolitical and inflationary pressures. While recent weakness in HSTECH reflects margin pressure from offshore-dominated internet and hardware platforms, we remain constructive longer-term, underpinned by policy tailwinds and ongoing technological innovations. New AI and semiconductor names in HSTECH also help it benefit from AI infra investment.

— **Michelle Kam, CFA**, *Investment Strategist*

Southbound net inflows are steady despite regulatory changes on cross-border brokers

Cumulative southbound net inflows (HKD bn)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Is the Euro area moving towards stagflation? Is a European Central Bank (ECB) June rate hike already priced into Bund yields, and what are the investment implications?

Our view: We believe a hawkish ECB rate path is already discounted through Q3 2026. We turn more positive on Bunds and prefer high-quality defensive credit exposure.

Rationale: Recent Euro area consumer inflation data points to a stagflationary impulse, though not yet a full stagflation regime. The sharp April energy price rise, driven by Hormuz strait closure, reflects an external supply shock rather than broad-based domestic inflation, as core inflation eased to 2.2%. Meanwhile, **growth momentum has weakened materially**. Q1 2026 GDP rose just 0.1% q/q, and the European Commission has cut its 2026 forecast. This mix of softer growth and energy-driven inflation leaves the ECB in a difficult position, but does not yet signal entrenched wage-price dynamics.

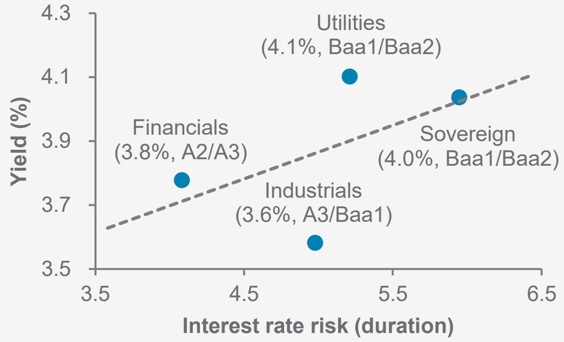
We believe there is limited upside in Bund yields in the Euro area. Markets have already priced in a fairly hawkish ECB path, including a 25bps hike as early as June and another by Q3 2026-end, which is ahead of our expectations (we believe it would likely only be able to hike once in June). The hurdle for a further meaningful spike in Bund yields is, therefore, relatively high, unless the ECB delivers a distinctly hawkish message via forward guidance or balance sheet policy. Moreover, a June hike alone is unlikely to be enough to drive sustained currency upside if already discounted.

Investment strategy: We turn more positive on Bunds and expect them to outperform US and Japanese government bonds. EUR-denominated credit spreads could widen in a weakening growth environment, so we prefer high-quality defensive credit exposure to weather recessionary impulse, particularly the European financials, given their solid fundamentals.

— **Cedric Lam,** *Senior Investment Strategist*

Financial bonds offer attractive risk-reward balance among major EUR-denominated bonds

Bloomberg Pan-Euro Agg Indices (by sectors)



Source: Bloomberg, Standard Chartered

What is your outlook for the New Zealand dollar (NZD) after the latest Reserve Bank of New Zealand (RBNZ) policy meeting?

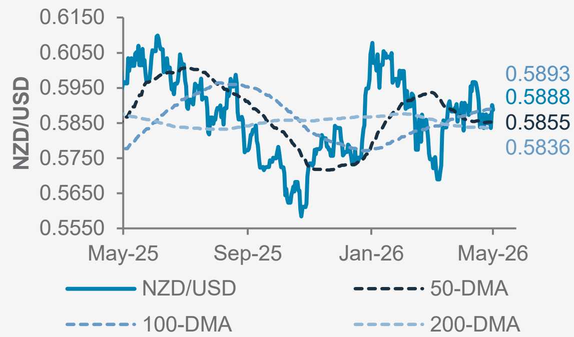
Our view: We are bullish on NZD/USD, with upside potential supported by a hawkish RBNZ and market expectations favouring further rate hikes. Immediate resistance is at 0.60.

Rationale: The RBNZ has adopted a distinctly hawkish tone, keeping the **official cash rate (OCR) unchanged at 2.25%** in a split decision, but signalling its intention to implement at least two additional 25bps hikes by year-end 2026. This clear commitment to tightening monetary policy, coupled with market pricing that now reflects a total of 110bps in rate increases with a terminal rate forecasted at 3.25% by 2027, provides **strong support to the NZD**.

Beyond policy signals, the RBNZ is firmly focused on addressing inflation risks, particularly those driven by rising fuel prices, even as

Hawkish RBNZ supports a bullish NZD

NZD/USD and technical levels

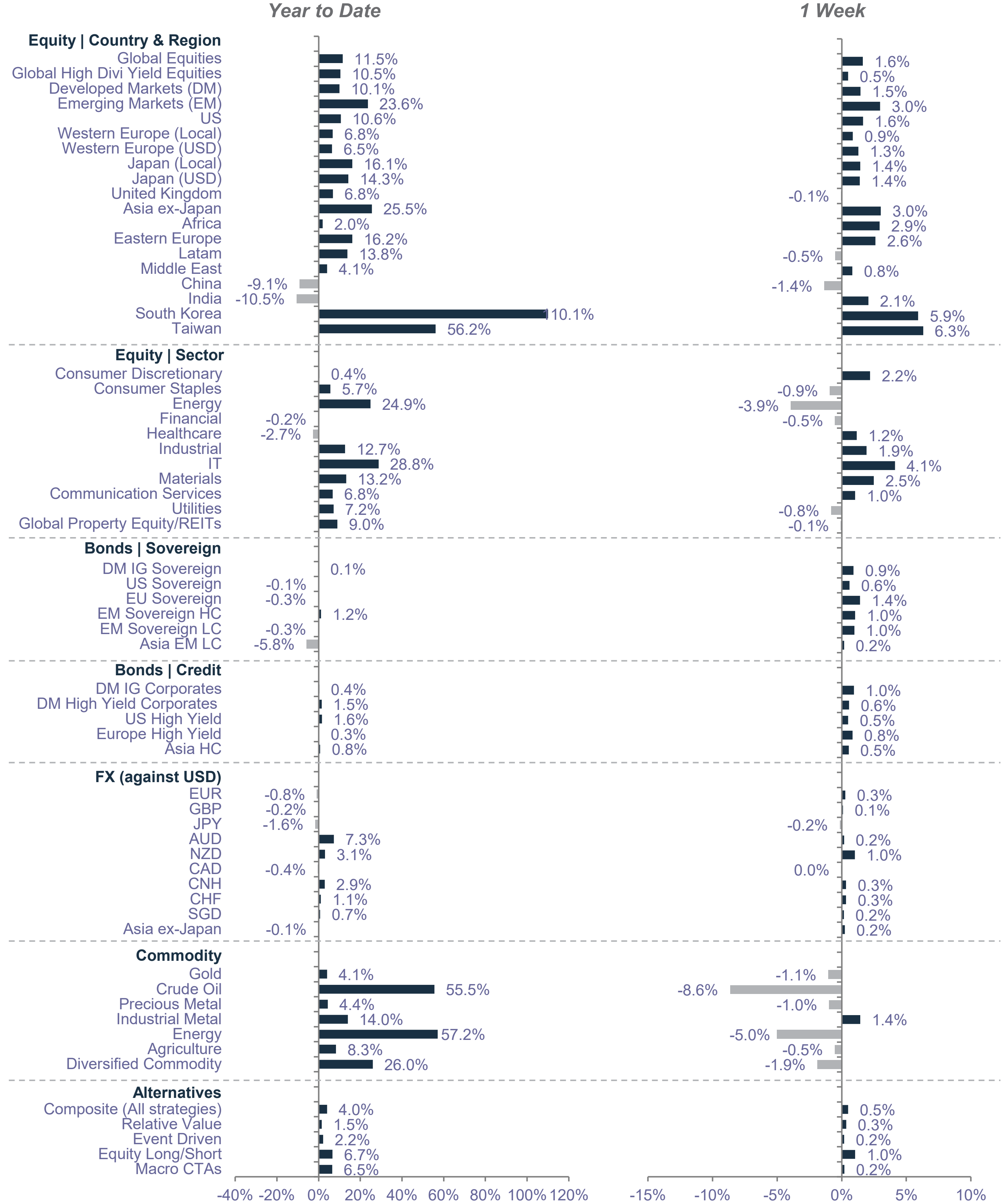


Source: Bloomberg, Standard Chartered

it recognises the potential downside for consumer spending and business sentiment. Projections from the central bank suggest a widening output gap and persistently elevated unemployment; yet, the **policy rate is poised to rise further** despite a subdued labour market. The RBNZ prioritises price stability over short-term economic softness. **Key risk to our view:** A hawkish Fed repricing.

— **Iris Yuen**, *Investment Strategist*

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 29 May 2026; 1-week period: 21 May 2026 to 29 May 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Healthcare	▲
Asia ex-Japan	◆	Europe ex-UK Financials	▲
Japan	◆	China Communication	▲
Other EM	◆	China Technology	▲
		China Healthcare	▲
Bonds	◆		
Credit			
Asia USD	◆	**Alternatives**	◆
Corp DM HY	◆		
Govt EM USD	▲	**Gold**	▲
Corp DM IG	◆		
Govt			
Govt EM Local	▲		
Govt DM IG	▼		

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EUR	Unemployment Rate	Apr	–	6.2%
	USD	ISM Manufacturing	May	53.2	52.7
	USD	ISM New Orders	May	–	54.1
TUE	EUR	CPI y/y	May P	3.2%	3.0%
	EUR	CPI Core y/y	May P	–	2.2%
	USD	JOLTS Job Openings	Apr	6866k	6866k
WED	AUD	GDP y/y	1Q	–	2.6%
	EUR	PPI y/y	Apr	–	2.1%
	USD	ADP Employment Change	May	110k	109k
	USD	ISM Services Index	May	53.8	53.6
THU	USD	Fed Releases Beige Book	–	–	–
	USD	Initial Jobless Claims	30-May	–	–
	USD	Continuing Claims	23-May	–	–
FRI/SAT	USD	Change in Nonfarm Payrolls	May	95k	115k
	USD	Unemployment Rate	May	4.3%	4.3%

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,719

Technical indicators for key markets as of 28 May close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,564	7,258	7,719	21.1	1.2
STOXX 50	6,055	5,820	6,217	15.3	3.1
FTSE 100	10,426	10,199	10,605	12.8	3.5
TOPIX	3,902	3,739	4,019	16.9	2.3
Shanghai Comp	4,099	4,017	4,220	13.8	2.9
Hang Seng	25,006	24,207	26,325	10.6	3.5
Nifty 50	23,907	23,286	24,505	18.4	1.8
MSCI Asia ex-Japan	1,140	1,066	1,190	12.6	2.0
MSCI EM	1,725	1,626	1,792	11.9	2.4
Crude oil (WTI)	88.9	80.4	104.2	na	na
Gold	4,495	4,317	4,724	na	na
UST 10Y Yield	4.45	4.28	4.65	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 28 May close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.70
Global Equities	◐	↓	1.49
Gold	◐	↓	1.41
Equity			
MSCI US	◐	↓	1.39
MSCI Europe	●	→	1.77
MSCI AC AXJ	●	→	1.59
Fixed Income			
DM Corp Bond	●	↓	1.87
DM High Yield	●	→	1.87
EM USD	●	↑	2.00
EM Local	●	↓	1.54
Asia USD	●	→	1.83
Currencies			
EUR/USD	●	→	1.61

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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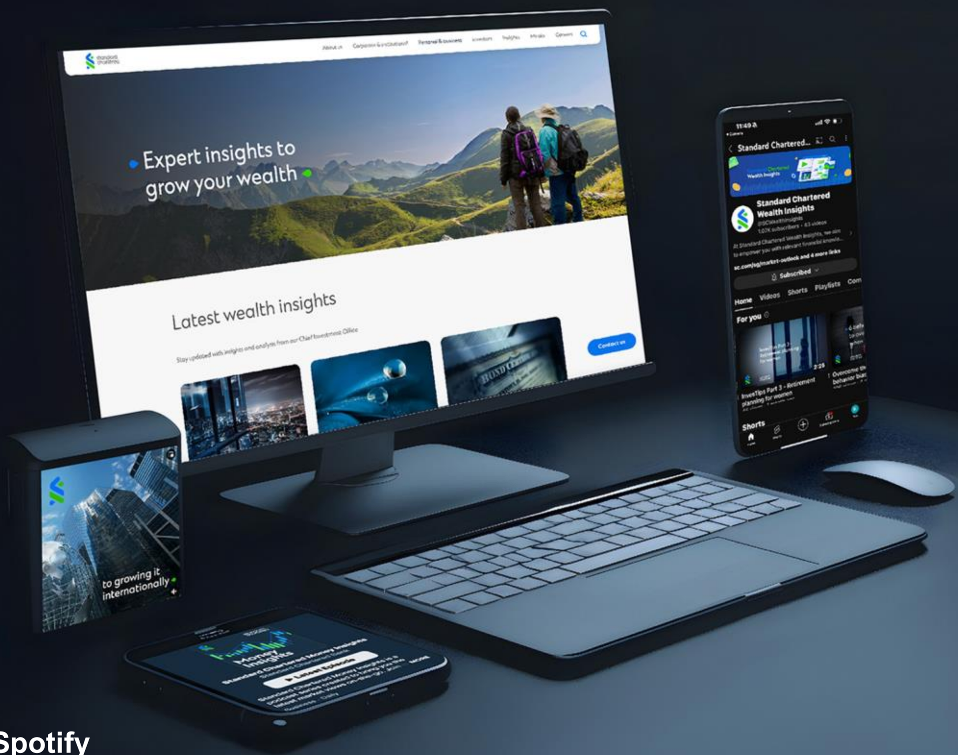

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